

Daily Brief: Youth discontent will remain a challenge for Modi

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Youth discontent will remain a challenge for Modi

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summary

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Although Prime Minister Narendra Modi's government was able to contain student protests after six weeks, the underlying political vulnerability of high youth unemployment remains.

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South Korea's government will likely refrain from more intrusive regulatory measures amid market volatility, as the KOSPI remains a positive political story.

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The Philippines could gain a US tariff advantage over ASEAN peers, while Vietnam remains the country most at risk.

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A Fed hike today would say more about Chair Kevin Warsh's reaction function than the economy.

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Regions, countries, and sectors covered in this edition include the US, Argentina, ASEAN, India, Ghana, and South Korea.

the top line

India—Youth discontent remains major political threat for BJP as protests subside

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Modi's government has contained six weeks of student protests by sacrificing its education minister, but the underlying political vulnerability of youth unemployment remains, with nearly 30% of college graduates out of work.

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Despite the rare political setback for Modi, his government will be able to advance key aspects of its legislative agenda:

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It is expected to pass bills to assist small and medium enterprises and to exempt foreign investors from paying income tax on interest earnings and capital gains tax on government securities in the ongoing

parliamentary session.

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A constitutional amendment to redraw parliamentary constituencies and solidify the ruling Bharatiya Janata Party's electoral advantage is expected to be passed in the next parliamentary session which starts in December.

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Youth dissatisfaction is poised to come back into focus in several state elections next year, especially in the country's most populous state, Uttar Pradesh.

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Read more here . Reach out to discuss: southasia@eurasiagroup.net .

South Korea—Seoul will learn to live with stock market volatility

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Volatility in the KOSPI stock exchange will remain high as the market increasingly depends on the performance of Korea's two leading semiconductor firms, and recent government intervention to rein in single-stock leveraged exchange-traded funds will do little to minimize large daily swings in markets.

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Nonetheless, the government will likely refrain from more intrusive regulatory measures, as the KOSPI remains a positive political story for President Lee Jae-myung despite a 30% downturn since the middle of June.

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Policymaking will focus more on combatting rising income inequality from Korea's K-shaped semiconductor boom by spending excess tax revenue to help disadvantaged groups and raising property taxes on second homes.

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ASEAN—Philippines could gain US tariff advantage over regional peers

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Recently announced Section 301 tariffs on forced labor favor Indonesia, Malaysia, and Cambodia, which have Agreements on Reciprocal Trade with the US, over other Southeast Asian countries, but they mark only the first stage in rebuilding the tariff wall.

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The eventual tariff levels for ASEAN nations will depend on the outcomes of the remaining 301 investigations and separate sectoral duties, and the results may be similar to the previous 19-20% "reciprocal" framework with somewhat greater variation across countries.

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The Philippines may ultimately gain a trade advantage over regional peers. It faces no other 301 investigations and is a relatively smaller trading partner for the US with fewer bilateral irritants.

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Vietnam remains the country most at risk from US tariffs. In addition to the other Section 301 investigations, Hanoi faces a country-specific intellectual property probe.

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US—A Fed hike today would say more about Warsh than the economy

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The case for hiking today rests on a changed Fed's reaction function, not changed data. A move today is plausible but not our or the market's basecase, and dissents will be the tell. Nothing in the data since June's soft inflation report argues for a hike; but the chairman's limited communication sounds hawkish and seems inclined to redress past Fed "failures." Two dissents in favor of hiking would be manageable for Warsh; a third joining them would suggest the committee might be outrunning its chair.

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Markets pricing a full September hike seems to rest more on oil expectations than economic data. If the Fed holds today, little data arrives in time to justify September, and August's Jackson Hole conference comes too soon for Warsh to present the intellectual case his task forces are still building. September is mainly live under our US-Iran escalation basecase, with oil prices remaining elevated and reversing the June energy disinflation.

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A pre-election hike would test President Donald Trump as much as the Fed, making December more likely. Should the Fed hold both today and in September, moving on 28 October just before the Midterms would bank independence credibility but potentially at the price of open conflict with the White House, making a hike in December more likely.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

Ghana—Strong fiscal consolidation in 2026 will create room for higher spending next year

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On 23 July, Finance Minister Cassiel Ato Forson presented the 2026 mid-year budget review to parliament. The review highlighted the administration's fiscal discipline as it strives to regain credibility after the 2022 default. In the first half of 2026, authorities achieved an overall fiscal deficit (commitment basis) of 0.4%, compared with the mid-year target of 2%.

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Spending pressures will intensify next year, ahead of the 2028 general election, but a more flexible primary surplus target of 0.5% in 2027 (down from 1.5% in 2026) will allow higher infrastructure spending without breaching fiscal goals.

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With \$9.5 billion in restructured domestic debt maturing in 2027 and 2028, a new Eurobond issuance is likely in early 2027.

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upcoming conference calls

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30 July 9:30 AM ET—Brazil update. Register here .

eg in depth

Argentina—Milei's approval slump clouds congressional reform path: Di Tella University's Confidence in Government Index fell to the lowest level of President Javier Milei's presidency and a 21% drop from the same period a year earlier. The sharpest drop came among 18-to-29-year-olds; confidence in that age group fell 23% month-on-month, driven largely by deteriorating labor conditions. Younger voters initially backed Milei, but an uneven recovery is eroding confidence in his administration. The decline in confidence comes amid an attempt by Milei to reset ties with allies to advance an ambitious reform agenda ahead of the 2027 election cycle. However, Milei's declining support will likely lead the administration's allies to demand more concessions in exchange for their votes. Milei still has a path to reelection next year, but disinflation and formal job creation will remain the central variables determining whether he can improve his standing before the electoral cycle begins. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming events:

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29 July: Data: Russia unemployment, US retail sales; Central bank decision: US.

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30 July: Events: Apple, Amazon, and Samsung earnings; Data: Eurozone GDP, unemployment, and consumer confidence, US GDP, consumer income, and PCE price index; Central bank decisions: UK and Ukraine.

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31 July: Events: Chevron, Exxon Mobil earnings; Data: China manufacturing and non-manufacturing PMI, Eurozone CPI, Japan CPI, and US UMich consumer sentiment; Central bank decisions: Colombia and Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, and Trista Kelley, with help from Astral Betteridge.

closing quip

The way you maintain the credibility that's been built up over decades is by making the best decisions you can given the data, rather than trying to use monetary policy to affect credibility."—New York Fed President John Williams, the vice chair of the rate-setting committee, earlier this month rejected the logic of a move to increase rates as a way to assert credibility.

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DailyBrief@eurasiagroup.net

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